

Ethics

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Definition of Ethics

- Ethics provide a moral framework in determining the right action in a situation
- Two general types of ethical problems faced by nonprofit managers:
 - ① Managerial mischief – behavior that would be clearly recognized as being wrong
 - ② Moral mazes – gray areas dealt with by managers daily
- Nonprofit organizations have a legal and ethical responsibility to:
 - Donors
 - Clients
 - Boards and Staffs
 - General Public

Typology of Ethic Approaches

- Utilitarian Approach – maximize the most good for most people
- Virtue Approach – morally right actions regardless of outcomes
- Divine Approach – religious rooted
- Ethics of Care Approach – feminism literature rooted
- Ethical egoism – “what’s good for me”
- Communitarianism Approach – “what’s good for the community”
- Pluralism – a combo approach

Ethical Approaches

- Teleological
 - “Ends justify the means” solely focused on achieving ethical outcomes
- Utilitarianism
 - Derivative of the teleological approach involving measuring and calculating the relative benefits to all members of society
 - Act utilitarianism – single individual
 - General utilitarianism – society in aggregate
 - Rule utilitarianism – ethical rules that would most benefit society in aggregate on average
- Deontological
 - Do the right thing, regardless of the consequences
 - Actions are universalizable – what I can do, anyone else can
- Liberal Ethics
 - The rights of individuals override the needs of groups and societies
- Virtue Ethics
 - Focused on individual characteristics most correlated with ethical decision making as opposed to resolving ethical dilemmas

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Pastin's (1986) Characteristics of Highly Ethical Organizations

- At ease interacting with internal and external stakeholder groups. The ground rules of ethical organizations make the good of their stakeholder groups part of the organization's own good.
- Obsessed with fairness, with ground rules emphasizing that other individual interests count as much as their own
- Responsibility is individual rather than collective, with individuals assuming personal responsibilities for the actions of the organizations. Ground rules mandate that individuals are responsible to themselves
- See activities in terms of purpose – a way of operating that members of the organizations highly value. Purpose ties the organization to its environment.

Wallace's Characteristics of High Integrity Organizations (McNamara, 2000)

- A clear vision and picture of integrity exist throughout the organization
- Vision is owned and embodied by top management over time
- Reward system is aligned with the vision of integrity
- Policies and practices of the organization are aligned with the vision – there are no mixed messages
- Every significant management decision has ethical value dimensions
- Everyone is expected to work through conflicting-stakeholder value perspectives

Practical Ethical Issues to Consider as a Nonprofit

- Accountability
 - How is the board going to govern the organization?
 - How does the organization spend money?
 - How honestly is the organization going to represent itself?
- Conflict of interest
- Financial disclosure
- Accumulation of financial surplus
- Outside pay for directors and other staff
- Salaries, benefits, and prerequisites
- Personal relationships

Creating Ethical Nonprofit Organizations

- Establishing a Code of Ethics
 - A code of ethics is a systematic approach to define acceptable conduct
 - These codes may be general, specific, aspirational, legalistic, and can apply to varying levels of the organization
- Establishing Standards for Excellence
 - Ethical and accountability standards for excellent organizational behavior
 - Can be established internally or rated externally by a third-party watchdog
- Create an Organizational Culture to Resolve Ethical Dilemmas
 - Develop a culture that identifies controversial issues and systematically evaluates the impact of actions before operating in an ethical manner

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Discussion Question

- Nonprofit organizations are often held to high ethical standards due to their mission-driven nature and reliance on public trust. What are some ethical challenges that nonprofit leaders might face in terms of financial management and decision-making? Please provide examples of strategies they can employ to maintain the public's confidence in their organization's integrity.